FinGuard Bank Anti-Money Laundering Policy

Synthetic document for the FinGuard AI learning project. FinGuard Bank is fictional; this is not legal or regulatory advice.

1 Purpose and scope

This policy sets out how FinGuard Bank prevents its products from being used for money laundering and terrorist financing. It applies to all business lines, all employees, contractors and outsourced service providers acting on behalf of the bank, in every country where the bank operates.

2 Roles and responsibilities

The Management Board holds overall accountability for the AML framework and approves this policy at least once every 12 months. The Money Laundering Reporting Officer (MLRO) is responsible for suspicious activity reporting to the Financial Intelligence Unit and reports to the Board quarterly. The first line of defence (business units) owns customer due diligence; the second line (Compliance) sets standards and monitors; the third line (Internal Audit) reviews the AML framework at least every two years.

3 Risk-based approach

The bank performs an enterprise-wide money laundering risk assessment every year, covering customers, products, delivery channels and geographies. Customers are rated LOW, MEDIUM or HIGH risk. Controls are proportionate to risk: higher-risk relationships receive enhanced due diligence and more frequent monitoring, while simplified due diligence may only be applied to low-risk relationships that meet the criteria in the KYC procedure.

4 Prohibited relationships

The bank must not open or maintain anonymous accounts, accounts in obviously fictitious names, or relationships with shell banks. Relationships with persons on applicable sanctions lists are prohibited unless a licence has been granted by the competent authority and approved by the MLRO.

5 Transaction monitoring

All customer transactions are subject to automated monitoring combining rules, machine-learning risk scores and network analytics. Model outputs are indicators that prioritise human review; an alert or score alone is never treated as proof of money laundering. Alert handling standards are defined in the Transaction Monitoring and Alert Handling Guideline.

6 Suspicious activity reporting

Any employee who knows or suspects money laundering must report it internally to the MLRO without delay and in any case within 1 business day. The MLRO decides whether to file a Suspicious Activity Report (SAR) with the Financial Intelligence Unit. Employees must never inform the customer or any third party that a report has been made or is being considered (tipping-off prohibition).

7 Record keeping

Customer due diligence documents and transaction records are retained for at least 5 years after the end of the business relationship or the date of an occasional transaction. Records of internal investigations and SAR decisions are retained for the same period.

8 Training

All staff complete AML training when they join and annually thereafter. Staff in high-risk roles, such as payments operations, correspondent banking and private banking, complete additional role-specific training every 6 months.

9 Model governance

Detection models used for monitoring are registered with a version, training data description and evaluation metrics. Models are re-validated at least annually or after a material change in data or performance. Explanations of individual scores must be available to investigators.